

BALE OUT Unloading at a cotton unit in Ahmedabad; left, a farmer in rural Rajkot with his groundnut crop

after the US tariffs, the Centre waived import duty on raw cotton till December 2025, to allow mills to import cheaper cotton from Brazil, Australia and African countries," says Ganatra.

Problem is, the Cotton Corporation of India (CCI) has "over one crore bales in its stock", he adds. "They could have dispensed it now, at a discount, and saved precious foreign exchange." In the event, India is saddled with a cotton glut. "Prices are going to crash, and it's going to hit farmers hard. They will be heavily dependent on the government for procurement," adds Ganatra.

The RSS-affiliated Bharatiya Kisan Sangh (BKS), the leading farmers' body in Gujarat, fears the worst for the state's 1.5 million cotton farmers. The minimum support price (MSP) this year has been fixed at Rs 7,710 for the medium staple variety and Rs 8,110 for long staple. "Due to the glut, we expect the open market price will slide to around Rs 2,400 per quintal, which will be unsustainable," says R.K. Patel, BKS general secretary in Gujarat. The union has written to the Centre to reinstate the import duty on raw cotton immediately to save the cotton farmers. "If not, cotton will disappear as a crop, from Gujarat at least," he adds.

Takeaways

- **Gujarat's acreage under cotton declines steeply: 15% dip this year. Future grim for India's top global ranks**
- **Low yields, distortions in price due to imports see farmers shifting to oilseeds. Environmentalists happy**

In 2024, India logged 20 per cent of raw cotton production in the world, with 24 million bales, close to China's 26 per cent with 32 million bales. But a whole series of variables skews any chance of simple economics. From the weather, to input costs and the MSP, to a textile industry caught in a delicate global demand-supply web, it's a canvas where price distortions are the norm. Last year, the CCI had to buy nearly 10 million bales—45 per cent of India's output—to rescue farmers. Open market prices went so high against global prices that local buyers couldn't buy local!

FAKE 'BT COTTON' MENACE

Besides, 95 per cent of the crop grown in Gujarat and the Deccan since 2002 has been the genetically modified Bt cotton. Introduced by US firm Monsanto, the technology was illegally replicated by local seed manufacturers, particularly in Gujarat, and supplied to farmers across India. Dr B.G. Solanki, a retired cotton scientist associated with the Navsari Agricultural University, says this caused yields to drop continuously. In the past two years, in parts of Saurashtra, the entire crop failed.

Farmers partook indiscriminately of duplicate Bt cotton, disregarding natural weather cycles and extending harvesting by months against advisories. "The price gap was so wide, no awareness drive worked," says Solanki. The RSS's support for local manufacturers—against multinationals—also encumbered the Centre, still a sticking point in negotiations with the US.

Ironically, imitation Bt cotton lacked resistance to pests like mealy bugs, white fly and, lately, pink bollworms. "This ruined harvests. The soil damage from increased pesticide use will take years to reverse," says natural farming activist Kapil Shah. Had the government stepped in sooner with new seed technology or soil restoration advisories, rues Patel, India could have retained its top spot in cotton. ■